

Medical Payments Coverage and Coordination Guide

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Audience: Claims adjusters

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This guide expands on the "reasonable and necessary" standard referenced in the Coverage Interpretation Notes, Section 7, with the full Medical Payments claims-handling procedure.

1. Coverage Basis

Medical Payments coverage, where selected on the Declarations page, pays reasonable and necessary medical expenses incurred by the policyholder or a covered passenger as a result of a covered auto accident, regardless of fault — it does not require establishing that another driver was at fault, distinguishing it from a Part A liability claim or a Part B uninsured motorist claim, both of which depend on a fault or coverage-gap determination.

2. Reasonable and Necessary Standard

An expense is reviewed against prevailing costs for the same treatment in the same geographic area (consistent with the Coverage Interpretation Notes) and against whether the treatment is medically appropriate for the reported injury — a claim adjuster is not a medical professional and relies on a documented medical-bill review process rather than independent clinical judgment when a treatment's appropriateness is in question.

3. Coordination with Health Insurance

Where the policyholder has other health insurance, Medical Payments coverage under this Policy Wording pays regardless of that other coverage (unlike Part B, which is explicitly excess in the underinsured scenario) up to the Medical Payments limit shown on the Declarations page, unless the Policy Wording's specific coordination-of-benefits language for this policy form version states otherwise.

4. Coordination with Part B (Uninsured/Underinsured Motorist)

Where a claim also involves a Part B bodily injury claim for the same accident, Medical Payments amounts already paid are typically credited against, not paid in addition to, the Part B settlement, per the anti-duplication provision referenced in the Uninsured and Underinsured Motorist Claims Handling Guide, Section 6 — the two coverage parts do not stack to produce a doubled recovery for the same medical expenses.

5. Per-Person Limit Application

The Medical Payments limit on the Declarations page applies per person, per accident — where multiple covered passengers are injured in the same accident, each is evaluated against the full per-person limit independently, not against a single shared limit divided among them, unless the Declarations page specifically states an aggregate per-accident limit.

6. Time Limitation on Incurred Expenses

Medical expenses are typically only covered under Medical Payments if incurred within a defined period following the accident (commonly one to three years, as stated in the Policy Wording); an expense incurred well outside that window, even if related to the original accident, is reviewed against this time limitation before being included in the payout computation.

7. Subrogation on Medical Payments

Where Medical Payments has been paid and the accident is later determined to be the fault of an identified third party, Meridian Mutual may pursue subrogation for the Medical Payments amount from that third party's insurer, following the standard process in the Subrogation and Recovery Guide — the payment to the policyholder or covered passenger is not delayed pending that determination.

8. Documentation Standard

A Medical Payments claim file documents: the accident's connection to a covered auto, the treatment received and its reasonable-and-necessary basis (Section 2), any coordination with health insurance (Section 3) or Part B (Section 4), the per-person limit applied (Section 5), and the final computed payout produced by the deterministic calculation service.